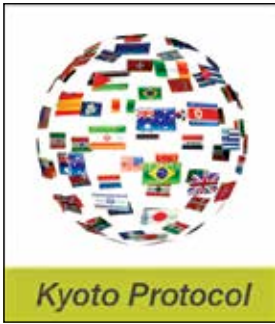


we admit it, the fact is that the whole idea of ‘catering to the greater good’ is just a hobby for some, a myth for most and an ambition for a mere few.

Setting things right

Since most of the industries rely on fossil fuels, and are responsible for a great amount of greenhouse gas emissions, the Intergovernmental Panel on Climate Change (IPCC) decided to come up with a practical solution to increase awareness regarding these gas emissions and make ‘going green’ feasible for the industrialists – Carbon Credits. When the countries came together in 1997 to sign the Kyoto Protocol, they voluntarily decided to reduce the amount of Carbon they emit into the atmosphere. A financially viable way out was the whole concept of Carbon trading and Carbon credits.



The IPCC observed that giving a real price to carbon would give people a reason to invest in environmentally friendly equipment that release lesser greenhouse gases. A carbon credit could be considered a license showing that the particular individual or company has paid to remove – or reduce the emissions of – Carbon Dioxide from the environment. One carbon credit is a value given to a particular amount of carbon emissions, usually one ton of carbon dioxide or another carbon dioxide equivalent value for other green-

house gases. So basically, the point of carbon credits is to assign a monetary value to the cost of emitting greenhouse gases. So, a whole new market is created where a carbon credit is the new currency, and each carbon credit can be converted into implicit money, thus giving companies, individuals and as a result countries a financial incentive to produce less carbon dioxide.

Playing the Carbon Trading game

In what could be defined as a last gap measure by worried countries all over the world, the policy formalized in the Kyoto Protocol could now well be viewed as a profitable business venture thanks to carbon trading. Carbon trading is basically the buying and selling of carbon credits in the market, under the allowances and rules set as per the Kyoto Protocol. Under the protocol, each country is given a quota of the amount of greenhouse gases they are allowed to emit, and in turn these countries set limits on the amount of